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“Implementing a new funeral business idea in Spain: Memoria Azul (Blue Memory)”

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ABSTRACT

This Project is based on developing a business plan for a company that offers sustainable memorial funeral ceremonies to individuals with ashes of their loved ones, taking the idea from an American business. The growing proportion of cremations versus burials and the increase in commemorative ceremonies has led to the emergence of new products that help overcome mourning through goods and services that can be generated with the ashes of the deceased. However, there are several segments with little competition and uncovered that mark a business opportunity, one of which will be covered by this company through a legal solution in accordance with the environment.

After defending the opportunity of this market, the market will be studied to understand its strengths and weaknesses. Later on, all the factors to be taken into account to carry out the idea, both operational and marketing, are specified. Its viability will be confirmed or not with a financial plan during the next five periods after its opening.

The objective is to verify that this business idea can be carried out in Spanish territory.

Keywords: Reef Ball, sustainable, funeral, business plan, ashes.

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1. INTRODUCTION

1.1 Introduction

Among the different options on which to do my final degree project, I chose the business plan option for two reasons. On the one hand, it is the option in which the largest number of topics and concepts acquired during the degree can be applied, being able to join them together.

On the other hand, while other options have a more analysis and study approach, a business plan includes not only analyzing but also doing, creating, undertaking. My motivation to not only understand and understand but to be able to create something with that knowledge is what has led me to choose a business plan.

But my entrepreneurial facet is always based on a need to respect the environment, otherwise I would not have the ability to carry out a business idea. Investigating what situations could be improved in society in this regard, I noticed an idea of burial in which the deceased could be placed naked in a biodegradable wrapper by planting a tree on top. This sparked my interest and I decided to investigate sustainable environmental solutions in the funeral market, which led me to an American NGO, Eternal Reefs, that manufactured artificial reefs where ashes could be introduced and then deposited on the seabed to promote marine biodiversity and curb the strong waves of storms.

When researching in Spain, I observed that there was no such business and that people spread the ashes in nature in any way without knowing its impact, so I thought it appropriate to give this business idea a chance and study if it would be feasible to introduce it in the Spanish market. , in a country that has many kilometres of coastline, with love for the sea and with threats of destruction due to the entrance of waves on the coast.

1.2 Goals

The main goal is to offer a sustainable solution to the Spanish funeral market regarding the release of ashes. Saying goodbye to a loved one by returning him to nature is a very humble act that everyone should adopt, but not everyone knows the impacts that their actions generate on nature, so the main objective is to offer all those people who

want to make an act of liberation, of farewell in nature, that they really do it in a way that respects the place, with someone who knows how it will affect the environment

As sub-objectives is to be able to lead this change in the Spanish market. That more people opt for sustainable solutions.

For this, another sub-objective is to be able to offer new solutions in the future, not only at the maritime level.

1.3 Methodology

To know if this idea has a place in the Spanish market, the important thing is to understand the Spanish funeral market. How it works and what happens to the ashes of people who opted for cremation.

In addition, it is necessary to understand how the Spanish consumer behaves in situations of mourning and what the Spanish culture is like in terms of innovation in the funeral sector.

The strategy to follow is to find a customer segment in this market that is willing not only to opt for a sustainable product but to accept the added value that is offered and the way to carry it out.

1.4 Structure

Firstly, it is necessary to explain the business idea that is going to be carried out and why there is an opportunity in the Spanish funeral market, with possible threats, weaknesses, and strengths that may exist.

Subsequently, a study of the Spanish funeral market will help to have an overview of the sector and its latest trends, which will subsequently require understanding the environment and strengths of the different agents involved.

The next step will be to explain how all this work will be carried out through an operations plan. along with a marketing section that will offer information on the strategy to follow and the positioning of the brand, in addition to predicting demand.

All this will be verified numerically to know if it is financially viable, if it really has any benefit to carry out this activity. The legal terms that this also entails will also be discussed.

Finally, a conclusion can be found at the end followed by the references provided and an annex to consult documents in greater depth.

2. BUSINESS OPPORTUNITY

2.1 Business idea

In a nutshell, Memoria Azul -Blue Memory- offers a service for the commemoration of a deceased/s -a few weeks after the death- where relatives can mix the ashes of their loved ones in an artificial reef ball, which they can personalize at the end. They will be taken along with the reef balls to a boat to take them to a point far from the coast in the sea, where the relatives will be able to say goodbye to the remains while a team deposits them on the seabed.

The reef is designed to move as little as possible and will encourage marine biodiversity in the area as well as stop the strong waves.

It is a way to spread the ashes in a sustainable way, without occupying more land and helping environment and society.



Figure 2.1. Brand Logo (Translation: Blue Memory, let your roots grow)

Source: Own elaboration

2.2 Opportunity Analysis

Trends in the Spanish funeral sector have been changing for a few years, attributed in certain aspects to the epidemiological episode of recent periods (Funos, 2021). These trends have created an optimal situation to adapt the American business idea to the Spanish funeral market.

On the one hand, the number of cremations is increasing more and more. In 2017 the Spanish proportion of cremations compared to burials was 38.43%, in 2020 it rose to 45.18% and it is estimated 60% for 2025 (Asociación nacional de servicios funerarios [Panasef], 2021). Of these cremations, only 35% end up buried in cemeteries and the rest opt for various actions (Zuil, 2016). Cremation is increasing because it is not only cheaper, but also offers greater flexibility to the wishes of the deceased -or relatives of

the deceased- which are increasingly varied and are leading to greater personalization and participation in funeral acts, reaching to the point of carrying out a second commemorative acts a few weeks after the death (Funos, 2021).

Among the different options in which the deceased -or the family of the deceased- can choose what to do with the remains, scattering them in nature in a place important to these two agents is a very common practice, although at the same time very controversial. The little knowledge of the environmental impact of ashes, urns and/or accessories in the place of recreation, as well as the changing regulatory legislation depending on the region, leads to questioning the good will of the relatives and the true impact that this generates, existing even fines for bad practice (Econfunerales, 2019).

That is why there is a new activity in the funeral sector where there are different improved and legal options to carry out these practices, from the simplest such as the use of biodegradable urns, to the possibility of being able to plant a tree on them. Memoria Azul may choose to enter this market for several reasons:

- **Market niche:** there is a high concentration of companies in the sustainable solutions segment, but services for scattering ash at sea are hardly promoted and 100% not carrying out the same service Memoria Azul would.
- **Added value:** the latest storms that lie in wait for the country are increasingly affecting the coast, such as the Mediterranean (La Vanguardia, 2022), as global warming generates more destructive storms (Lester, 2008). The structure of the artificial reefs of Memoria Azul will suffocate the strong waves caused by storms that will help preserve the towns near the coast, saving much damage and reconstruction and prevention tasks.
- **The Mediterranean Sea as a point of connection/emotional involvement:** the Spanish coastal population feels a strong connection with its seas and coasts. In 2004, more than 600 urns were removed from the seabed of Barcelona. In addition, the damage caused by the storms is increasing more to the Mediterranean Sea causing serious damage and eliminating the beaches, worrying for the tourism sector and the population in general.

2.3 Mission, vision, and values

- Mission: Offer environmental alternatives for the management of funerary remains in Spain.
- Vision: Mark a disruptive change in the Spanish funeral industry by being a leader in environmentally innovative solutions in the sector.
- Values: this company starts from an environmental awareness, so all activities will be carried out with a sustainable vision, respecting the environment in which it works. To clients, a commitment of respect, good treatment and quality assurance of goods and services must be shown.

2.4 CANVAS

The Canvas framework can be found in the Appendix.

2.5 SWOT Analysis

INTERNAL	Strengths	Weaknesses
	- Technology already developed that makes it easier to learn production and attract suppliers. - Physical promotion close to people unlike other competitors	- Lots of legal paperwork. - High initial investment. - Traditional religious tradition
EXTERNAL ANALYSIS	Opportunities	Threats
	- Only companies that operate with ashes in the sea. - First company to offer this service in the country. - Added value: helps biodiversity and maintain beaches - Increased variety of commemorative events - Large amount of coastline that involves a large Spanish population with the sea. - Increased environmental awareness	- Greater protection of beaches and coastal areas that prevent activities from being carried out. - Changing regulation in each Autonomous Community. - Rapid appearance of new competitors - Capacity problems if production increases a lot.

Table 2.1. SWOT Analysis table

Source: Own elaboration

3. IINDUSTRY STUDY

3.1 Introduction to the sector, structure, and trends

The activities that Memoria Azul carries out occur within the funeral sector. The funeral market includes all the activities that cover all those emotional, social, legal, administrative, and functional needs that the future deceased and his family face.

The funeral industry works from an already established demand that depends on the country's mortality rate, characterized by its stability in the case of Spain except for some exceptional moments such as in the case of COVID-19 (we assume the year 2020 as anomaly due to the pandemic and data that may deviate conclusions and predictions will not be considered). In this way, it is observed in recent periods that Spain contributes an average number of 416,513 deaths to the funeral market (without considering 2020) although an increase in these is expected to a certain extent, due to the population pyramid characteristic of Spain.

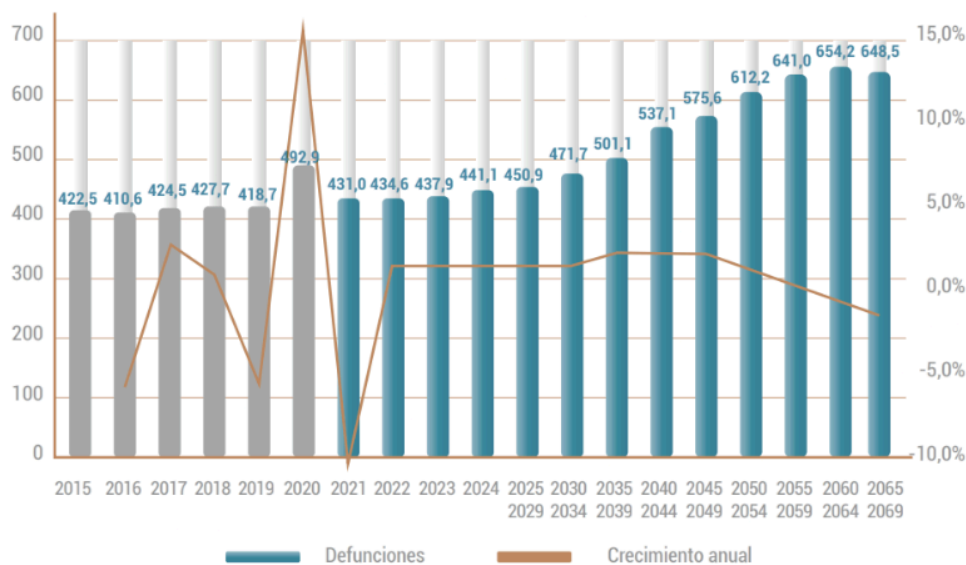


Figure 3.1. Forecast number of deaths in Spain from 2015 to 2069 (in thousands)

Source: Funos

The death of a person generates several needs that must be covered. According to Panasef, the National Association of Funeral Services, the activities in charge of this are divided into:

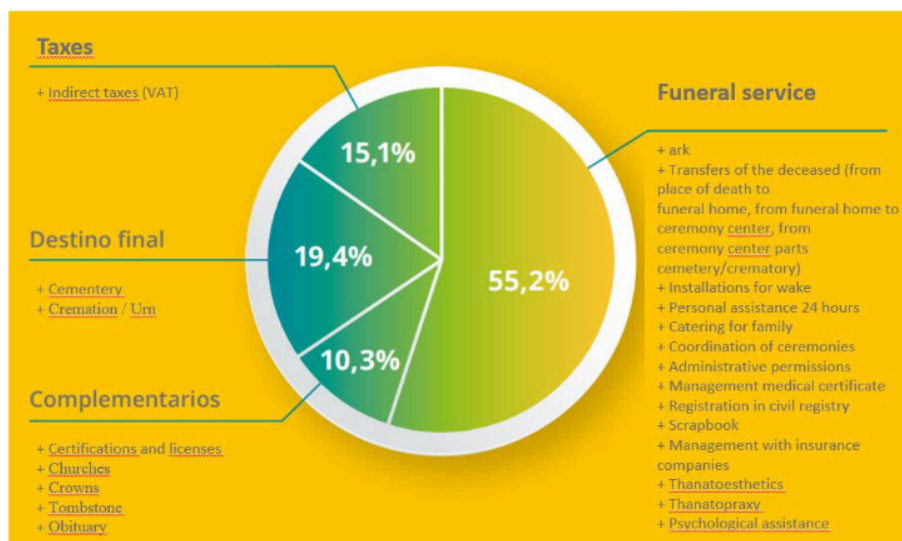


Figure 3.2. Average market structure

Source: Panasef (National Association of Funeral Services)

These activities are carried out by the following main economic agents:

Funeral homes	Marble workers	Taxi drivers	Cemeteries and crematoriums	Church
Florists	Press/Radio	Docotors, psychologists, forensic	Restoration	Public administration

Table 3.1. Main economic agents

Source: Own elaboration

All this generates services whose number already exceeds 400,000 since 2018, generating revenues of more than 1,500 million euros, representing 0.13% of Spanish GDP.

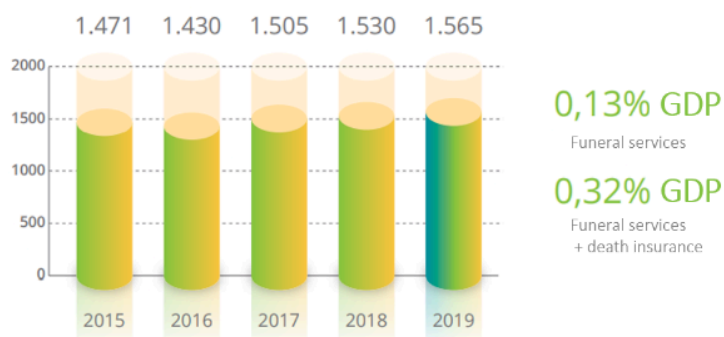


Figure 3.3. Turnover volume of funeral services in Spain (millions of euros)

Source: Panasef (National Association of Funeral Services)

Regarding the trends in the sector, several points mark the path of a market that, famously traditional, is beginning to modernize.

In the first place, the proportion between cremations and burials is increasing. People cremate more and, although it is a more common practice in many other European countries, in Spain this proportion grows every year by an average of 1,786 percentage points in favour of cremations. In 2020, 45.18% of deaths were cremated, and it is expected to reach 60% in 2025.

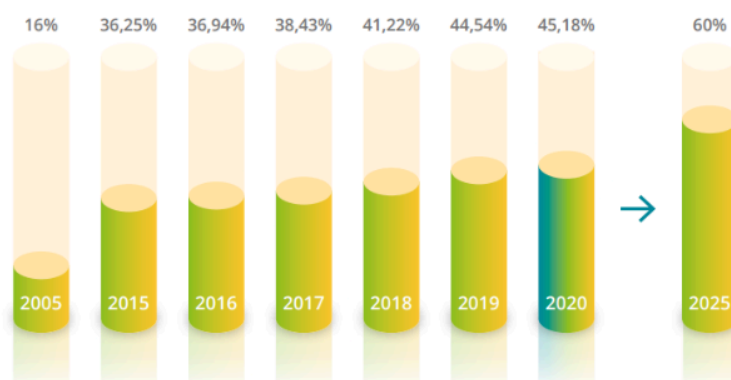


Figure 3.4. Evolution of incineration in Spain

Source: Panasef (National Association of Funeral Services)

On the other hand, greater digitization has come to the industry. Funeral homes are increasing their online presence with the appearance of the first funeral comparator in the country (Funos, 2021). Users are more inclined to contract their services online, in addition to performing streaming ceremonies. Everything is greatly influenced by the epidemiological episode that changed consumer behaviour in a certain way.

In addition, it is necessary to highlight the boom in the contracting of death insurance. While in other countries it is not a very common practice, in Spain around 60% of deaths are covered by insurance policies (Panasef, 2020). Insurance companies have agreements with funeral companies to guarantee professional services with high quality standards. And the insured, even having the right to choose, it is normal for them to accept the

services offered by insurers (Panasef, 2016) for which it represents a relevant economic agent for the sector.

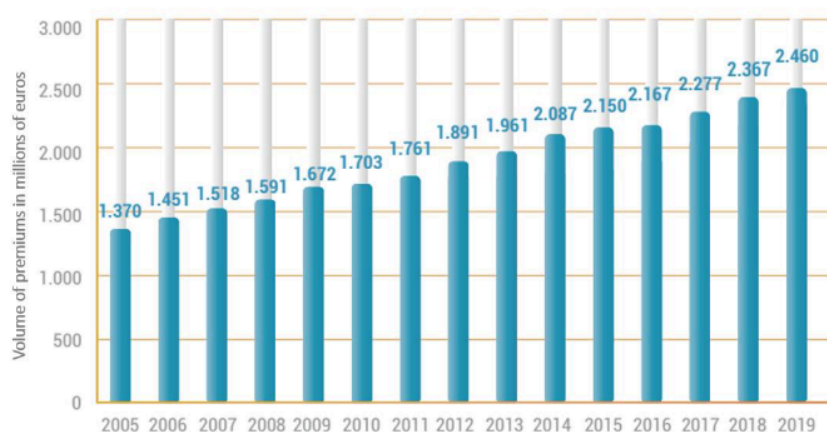


Figure 3.5. Annual evolution of the volume of premiums written for death insurance in Spain from 2005 to 2019 (in millions of euros)

Source: Funos

Other trends that are taking centre stage is sustainable involvement. Most consumers ask for ecological services and funeral companies are already responding by reducing their environmental impact and offering solutions such as planting trees for each deceased, the use of ecological coffins, etc. There is a last tendency to carry out ceremonies that are more personalized where you can participate in them, reaching the point of carrying out a commemorative ceremony a few weeks after the death.

All these trends have also led to the emergence of a new economic agent that covers these demands that funeral companies still do not fully cover. The increase in cremations makes new companies offer solutions such as burial of ashes and ecological ceremonies, transformation of ashes into diamonds, into portraits and memorials. These are the main competitors of Memoria Azul.

4. THE ENVIRONMENT

4.1 Degree of concentration

At no time are all those companies whose activities are related to the procedures for the death of a person up to their incineration or cremation taken as competition, but rather those that offer memorial services or release of ashes beyond ending up in a niche. There are numerous ways to release the ashes of a deceased, but the products that operate in the Spanish region are:

- Deposit the ashes on the seabed
- Deposit the ashes in nature underground.
- Deposit the ashes in nature underground and plant a tree.
- Turn ashes into jewellery.
- Enter ashes in jewellery.
- Add the ashes to a vinyl record.
- Mix the ashes with paint and make a portrait of the deceased.
- Mix the ashes with ink and make a tattoo.

You can see a wide variety of possibilities that cover different tastes. In this way, this market could be divided into three segments based on the personal inclination of consumers.

Keeping the remains	Artistic bent	Vinyl record, tattoos and portraits
	Luxury bent	Jewelry
Releasing the remains	Environmental bent	Trees, Underground, Memoria Azul

Table 4.1. Customer bents

Source: Own elaboration

Each segment has a different positioning. Turning the ashes into jewellery, or inserting them into it, is a product that the person will take with them, it does not require any fixed place or that it has a connection with the loved one. For this reason, online

positioning is the most common in this segment since it hardly needs many interactions, which generates a high level of concentration since few appear.

On the other hand, artistic segmentation has both online and physical positioning. In the case of tattoos, the interested client must go in person. In the case of vinyl and portraits, both positions can be taken because they would be in the same thing as jewellery, but they are also more artisanal works more subject to possible breakage, so it is also normal that they are demanded at a more local level. Companies dedicated to the work of tattoos of this style are several and numerous, while those of vinyl and portraits are scarcer despite taking a double position.

Lastly, the segment that Blue Memory is interested in is that of the liberation of the remains. These are the real competitors. This is characterized in that it needs a fixed site to carry out its activities and that also maintains a certain connection with the client.

It was said at the beginning of this section that only those companies that offer memorial services or release of ashes beyond ending up in a niche are considered as competition. But this does not exclude cemeteries and funeral companies, as these are also carrying out initiatives in which ashes can be deposited in gardens, as in the example of the Parque de la Paz cemetery in Valencia.

It can be seen how, in general, this market is geographically fragmented at the national level but locally concentrated. There are specific regions that occupy everything.

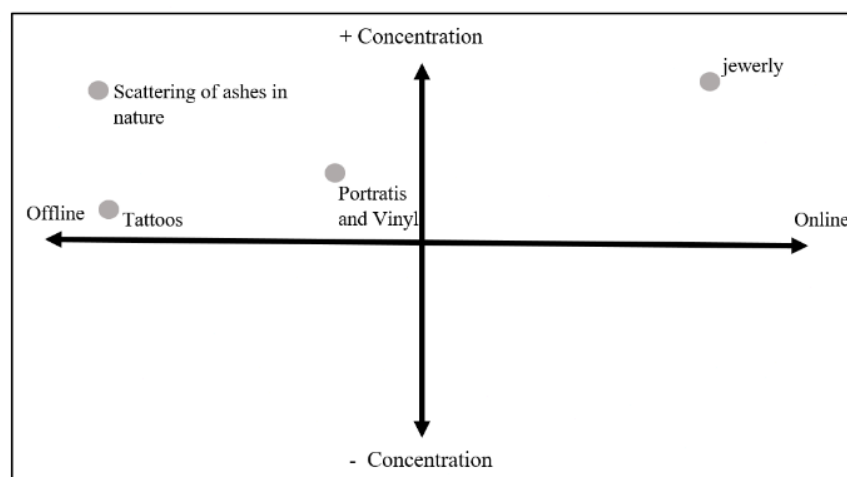


Figure 4.1. Environment concentration

Source: Own elaboration

4.2 PESTLE Analysis

- **Political:** according to La Moncloa, the political form of the Spanish State is the parliamentary monarchy. The king is the Head of State, and all his acts must be endorsed by the Government, in accordance with the provisions of the Constitution in its Title II dedicated to the Crown.

Executive power is vested in the government democratically elected by the people. Today there is a coalition government between the Spanish Socialist Party and United We Can, which are carrying out unfavourable policies for businessmen with a tendency to raise taxes.

On the other hand, both internal disputes, such as Catalan independence, and external disputes, such as the gas conflict with Algeria, are leaving much to be desired, causing little confidence in the government's decisions.

The increase in the number of parties represented in the Congress of Deputies shows a more divided society.

- **Economic:** the COVID-19 pandemic caused a recession in the country's economic activity in society. Even so, the GDP grew by 5.7%, largely supported by the tourism sector that characterizes the Spanish economy. It is expected that in 2023 levels of growth similar to those prior to the pandemic will be recovered, but there are also several international events that are causing an inflationary rise in prices that I do not know how long it will last and that creates uncertainty, especially in the work investment. The economic policy proposed by the current government aims to create jobs. The unemployment rate hovers around 13%. A quarter of the Spanish GDP comes from international business.

- **Sociocultural:** the Spanish population follows an inverse pyramidal shape, that is, there are more elderly people than young people. That denotes an increased mortality rate for a while.

The majority of the population declares itself a believer but not a practitioner, but even so, cremations are almost the same as burials, when the church advocates burying the bodies. You see a society trying to give meaning to their actions in a more personal way, faithful to their beliefs but acting in the way they think is most convenient. Everything characterized by an environmental commitment.

- **Technological:** the evolution of the internet and the media continues to grow. the contracting of products electronically is increasing more and more. In addition, the

arrival of virtual reality is a world where various agents are looking to the future. The company Meta has already established some headquarters in Spain (Lorenzo, 2022). Technological evolution will offer the possibility of doing more things without moving less.

- **Environmental:** Spain is one of the European countries that is experiencing the effects of climate change the most. Temperatures increase each year and unforeseen weather changes are more common. The storms increasingly cause the waves to cause more damage to the beaches with many economic costs. The drought does not help agricultural activities and the rise in sea level threatens several locations.

4.3 Porter's 5 Forces

- Bargaining power of customers: The power of consumers is quite high because these new solutions that are emerging are found in a very immature market that has yet to be made known. Therefore, clients must be very sure of making this decision, but if they do not see seriousness and professionalism, which is the fundamental characteristic of the foreign market, they will easily change to another option.
- Bargaining power of suppliers: In this aspect, there is hardly any pressure from the suppliers because there are many options to obtain the necessary resources. It is true that an important element for the manufacture of reef balls should be highlighted and that it is difficult to obtain, which are the reef moulds, which makes us depend on a single supplier. It is explained in more detail in the operations chapter.
- Threat of new entrants: realising the ashes into nature has a significant barrier to entry, which is the legal issue. The service or product that is sold will have an impact on the environment and therefore must pass the legal procedures. Therefore, the threat of new competitors in this regard is more likely to come from funeral companies that diversify.
- Threat of substitute products: It can be seen how there is a great variety of solutions for the ashes. And they are even more diverse in other countries. In the end, ashes are a material that can be added to a lot of ideas and possibilities, making it very easy to create a new product and therefore further fragment the market.

- Rivalry of competitors: As explained in more detail in the analysis of market concentration, this is a mainly geographically fragmented market, with a few companies that cover a lot.

5. OPERATIONS PLAN

What are the main tasks to carry out this service of artificial reefs? Firstly a the firm needs to settle down in a location to start producing the reef balls and have physical visibility. The layout would be very important, specially for the second location. Eventually, the materials and production process to make the reef balls will be shown.

5.1 Location

Memoria Azul will have two main points, a museum store (flash-shop) in the city of Valencia, and a production warehouse in Daimús (77km from Valencia). The headquarters will be legally established in the Valencia location, but most of the management activities will be carried out from Daimús and telematically.

- Flash-shop Valencia

Most of the innovations in the commemorative ceremonies in which Memoria Azul competes start from an online promotion. However, the implications that Memoria Azul has on the environment is part of its added value and therefore it is necessary to stand out and physically reach users as much as possible (this point is further developed in the marketing mix).

The flash-shop will be located in a space for rent at La Paz 31 street, in Valencia. It is a main street in the city centre, within the Xerea neighbourhood, one of the most exclusive in the city. It is an area with a high influx of people and the position of the store, which is on the corner of a cross street, gives it a lot of visibility.



Figure 5.1. Flash-shop Valencia

Source: Google Maps

- Daimús factory

Additionally, one hour from Valencia, a place for rent on Piles street will be used to make the reefs. It is a spacious place, about 271m² with an outdoor area perfect for letting the mould dry. The interior area will be used mainly for storing the reefs that are produced. It is located 10 minutes from the port, making it a convenient place for transportation issues.



Figure 5.2. Factory Daimús

Source: Idealista

5.2 Layout

Regarding the flash-shop in Valencia, as mentioned in the previous section, the objective of this store is to reflect not only what is sold but also the added value, its mission and values. That is why it is necessary to design the most suitable space so that the users who visit it have a clear personality of Memoria Azul.

Entering through the corner door you will find the first room, clear, diaphanous. The light will enter through the tall windows on La Paz Street and will illuminate the only bulky elements in the room, four artificial reefs of different sizes. On the far wall, a waterfall will be installed on that entire wall. And on the wall in front of the windows, the logo of Memoria Azul. The idea is to create perplexity when entering, not knowing what it is about, but attracting curiosity by creating a wide and calm space.



Figure 5.3. Perspective 1 from 1st room of the Flash-shop

Source: CEDREO



Figure 5.4. Perspective 2 from 1st room of the Flash-shop

Source: CEDREO

After the shop assistant's invitation to go to the other room, users will take the first door on the right. This room is the important one. A black room with dim lights on the ceiling and on the texts written on the walls to which the users' eyes will be directed. Accompanied by this text, they will have a screen to the side where they will be able to see videos of how reefs are made, how they help the environment, how families say goodbye to their loved ones, etc. In total there will be four text and four median screens in the side walls. In the middle there will be benches to invite you to spend more time, and at the back of the room there will be a screen considerably larger than the rest that can occupy almost the entire wall, where a more artistic video about the mission and vision will be projected. of Blue Memory to arouse the feelings of the viewers.

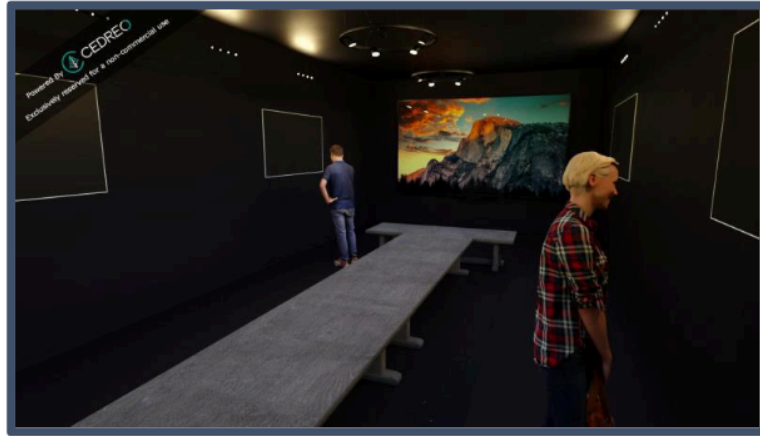


Figure 5.5. 2nd room of the Flash-shop

Source: CEDREO

The only sound that will accompany this experience will be music that invites the visitor to enter in harmony with the moment and the messages transmitted. It will be based on musical pieces such as RinneRadio – Tule! (OssiVaalto, 2015).

You exit through the other exit and the column that separates both doors, which is shown behind the table in Figure 5.4 as a landscape , will actually be a giant fish tank.

With the Daimús warehouse, the furniture is not so necessary, but rather the storage space allowed. There is a space of around 271 m², which would remain at 260 m² since part of the space will be used for a small office with a bathroom.

There are three different types of reefs depending on their size: Goliath (1.24m H x 1.82m W), Ultra (1.10m H x 1.50m W) and Pallet (0.88m H x 1.21m W) . Assuming -as discussed in subsequent sections- that 80% of sales are from Ultra, and the rest is divided between Pallet and Goliath, a storage of up to 86 reefs is assumed in the same proportion.

5.3 Production process

The product that Memoria Azul sells is not a good, but a service. This service consists of bringing families together a few weeks after the death of a relative and allowing them to join their ashes to the reef so that they can later commemorate them while they see how the reef is deposited on the seabed. Therefore, the production process starts from the manufacture of the reef until it is deposited on the seabed. This would unfold as follows:

The first task is to manufacture the reef ball. The ones Memoria Azul is going to manufacture have a shape close to roundness, being hollow inside with two large holes at the top and bottom and smaller holes distributed on the sides. This design creates stability for the reef in the marine environment (guaranteeing families that their reef will remain in place). These reefs are mainly made of concrete, so it is a large and heavy structure that takes time. That is why 90% of the structure is manufactured in advance, and the final upper part is the one that will later be used with the families so that they can pour the ashes into the cement.

The materials and procedures used for this task are shown in Figure 5.6 and Table 5.1.

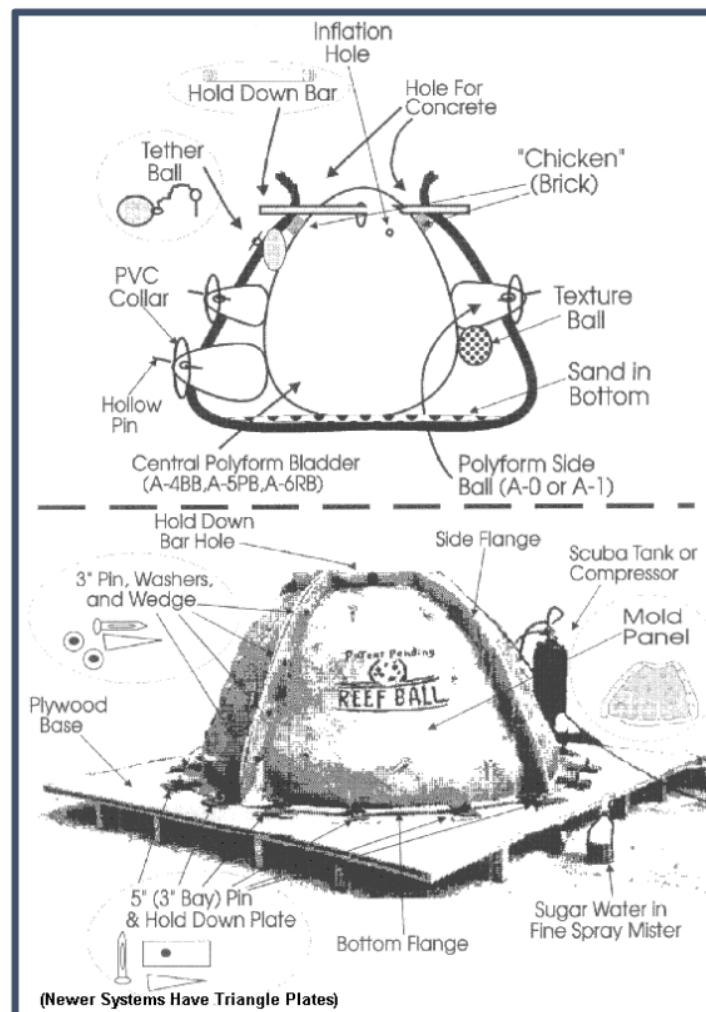


Figure 5.6. Elements/materials to create a Ball Reef

Source: Reef Ball Foundation

1.	The mould comes disassembled, before assembling it you have to apply sugar and water twice (Sugar is used as a retarder for the concrete to dry very soon, in cases changes must be done). Sugar water is used on concrete artificial reef molds to create a rough surface texture with exposed aggregates that encourages natural settlement of larval corals (water must be spread over the surface as soon as possible after de-molding to gain this effect).
2.	Assembly a plywood in order to have a base. → 8 feet square for all is enough
3.	Put the balls in the mould (which is not yet assembled). You will use three types of balls: a. Tether balls for small holes (inflated with a pump). b. Polyform balls for the largest holes. There are two types, larger and smaller, for all other holes. (these must be inflated with the air compressor)
4.	Assemble the pieces of the mold and put it on top of the base which will need to be trimmed to a smaller diameter than the reef so there will be room there in the future as well.
5.	Add Plugs so that later in those small holes the corals can adhere
6.	Add sand and sugar in the bottom.
7.	Add the giant Polyform. Deflated please. And you put a bar through the hole at the top that will cross the entire model from above as well. Use different polyform sizes for each reef size.
8.	8. Make sure that it is in a good position so that you make the least effort and trips when moving it.
9.	Pour the concrete It takes 7-12 hours to dry if the minimum temperature is 21 degrees. Otherwise, about 24 hours

Table 5.1. Procedures to create the Reef Ball

Source: Own elaboration

Product	Goliat: 1,24m H x 1,82m W 0,99 m3 5000 pounds	Ultra: 1,10m H x 1,50m W 0,68 m3 3200 pounds	Pallet: 0,88m H x 1,21m W 0,25 m3 1300 pounds
Concrete specifics	Cement: 352 kg Aggregate: 1057kg Sand: 681kg Water: 140kg Flying ashes: 25kg	Cement: 242 kg – Aggregate: 726kg –S and: 467kg –Water: 96,56kg Flying ashes: 17kg – 	Cement: 89 kg – Aggregate: 267kg – Sand: 172kg – Water: 35,5kg Flying ashes: 6,25kg –

Table 5.2. Concrete specifications per reef ball

Source: Own elaboration

Once they are dry, the moulds are removed and can be stored. This manufacturing process is Make to forecast, nobody will have hired it previously. At the same time, once the families have contracted the Blue Memory services, they will be able to choose between the different locations that are offered to deposit. Five geographical points distributed throughout the northern part of the Mediterranean Sea have been chosen, so that it reaches the four autonomous communities of interest -Catalonia, the Community of Valencia, Murcia and the Balearic Islands- in specific coastal areas where the latest storms have caused the most damage due to the waves. These are: Javea, Marenyet beach, Pantacona, Palma and Tossa del mar.

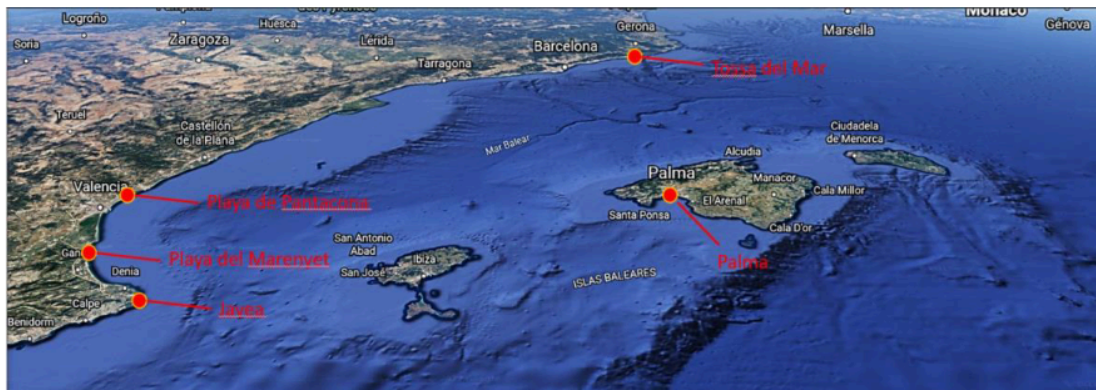


Figure 5.7. Location of services activities.

Source: Google Maps

Based on the points that are chosen, they will be dated a weekend in the closest coastal location to those points. Here begins the Blue Memory service.

On Saturday, on an esplanade closest to the pier, a truck will arrive with the reef balls and the upper final part of the reefs will be made, where the families themselves, if they wish, will be able to mix the ashes with the necessary cement. to finish the reef. Once spread over the upper base, they can write messages, footprints, and objects they want

such as shells or souvenirs (as long as they do not contain plastic or other elements that are harmful to the environment). Afterwards, families can enjoy some time together visiting the area or region while the cement dries throughout the day. The next day, on Sunday, the reefs will be loaded onto a boat where families will be able to board and witness how they are deposited on the seabed.



Figure 5.8. Collage day 1 – casting and customization

Source: Eternal Reefs



Figure 5.9. Collage day 2 – viewing

Source: Eternal Reefs

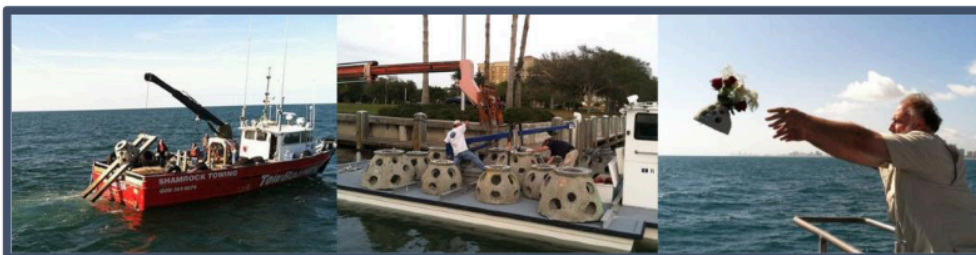


Figure 5.10. Collage day 2 – dedication & ceremony

Source: Eternal Reefs

5.4 Purchasing processes and suppliers

All the information about reef technology, how to make them and what materials to use is thanks to Reef Ball Commercial, “a division of the nonprofit organization that sells Reef Ball moulds, provides consulting and design assistance for designed artificial reef projects” (Reef Ball Foundation, 2020) It belongs to the Reef Ball Foundation to which Eternal Reefs also belongs.

They offer most of the materials and tools to use. Memoria Azul will acquire the fiberglass moulds from them, as well as a kit with various necessary tools. As more tools and moulds are needed, more orders will be made.

Other important acquisitions will be a boat and a truck that have a crane to be able to move the reefs. These and other materials and where they will be acquired are specified in the Appendix.

Before stating all the prices and expenses all this brings along with it, the Marketing field must be met.

6. MARKETING PLAN

6.1 Strategic Marketing

6.1.1 Competitor Analysis

As mentioned before, the products offered in this market have a lot of local importance, but it is also important to look at those that have an online position because they also affect, even those that are found locally in another part of the country because even if they are not direct competitors, you can analyse their prices, strategy, and the value they bring.

The main competitors of Memoria Azul are the following:

Gala Azul is a local Barcelo business that offers to throw the ashes into the sea in a legal way. It does not have a website but a Facebook account, without much information or price tables. He doesn't seem to have much involvement in his promotion.

On the other hand, there is **Hacia el mar**, another company that offers the same service but with more elaborate and detailed information. It has several services that it offers throughout Spain at different prices depending on the time and number of people, but it does not show the prices and it is not comparable to the time that Memoria Azul offers, which has no limit.

Cenizas al mar is another competitor that also offers the same service in various several of Spain and this one has even more information, including a price table, whose single price is around 850 euros. It is a price that moves around the prices of Memoria Azul but Memoria Azul offers added value that **Cenizas al mar** does not offer.

In addition, other competitors are the La Paz cemetery in Valencia, which offers gardens to bury ashes, an alternative to part of the sea. And the Barcelona cemetery that offers many forests to bury ashes.

In other words, there is hardly any price visibility, which is good to show to save information time. And they all offer the same services. Nothing innovative that resembles Blue Memory.

On the other hand, table 7.1 shows more competitors whose activity revolves around other products such as tattoos and jewellery. Loinité is a Swiss brand that positions itself with very high prices while you can opt for cheaper options. In general, it is a market where prices vary depending on the product to be sold.

Firm	Product	Price (EUR)	Location
Por siempre	paintings, pendants and jewelry to keep the ashes	34.99- 399	ONLINE
	ashes in diamonds	699	
	Use the ashes to make a portrait	N/A	
Recordarium	Plant a tree on top of the buried ashes on the site plot	249	Toledo
	Scatter the ashes on the plot of the place	249-2499	
	Bury them without planting anything (in a stepped columbarium on the ground)	600	
Loinité	Ashes in diamonds and jewels	1,900-2,400	Switzerland ONLINE en España
Algordanza	Ashes in diamonds and jewels	N/A	Switzerland ONLINE en España
Eternima	Pendants to keep ashes	90 - 520	Sevilla y ONLINE
	Ashes in diamonds, jewels and crystals	55 - >1,000	
	Use the ashes to make a portrait	N/A	
	Vinyl disc	N/A	

Table 6.1. Competitors

Source: Own elaboration

(A table with all the companies and websites can be found in the Appendix)

6.1.2 Customer Analysis

The funeral industry works with two types of clients. On the one hand the future deceased, who has previously been able to declare how he wishes his funeral acts to be carried out, and on the other hand the relatives of the deceased who also make decisions on issues that the deceased has not decided or sometimes, against him.

However, the possibilities offered by the market regarding dealing with the ashes, is more characteristic of a decision made by the relatives than by the deceased previously. It can be seen how there are consumers who want to keep a high bond with the deceased and do not want to free themselves from the ashes, this is the case of jewellery and tattoos. Then there is another segment that seeks to preserve the ashes but not have them present on the body so closely, it is the case of portraits and records. And then, there is another segment that seeks to release the ashes which affects Blue Memory and perhaps in which the deceased could have previously chosen. As explained later, the promotional work

reaches the level of the insurers so that the future deceased know about this option and can at least consider it.

Regardless of the person, the target of Blue Memory is a person -or family- who wants the ashes to be released. In turn, these people feel a high level of connection with the place -or just the sea -where they want to spread the ashes, so they must be people who live near the coast, that overlooks the northern Mediterranean Sea - or have high connection with the sea-. And also want to do it in a legal way and without causing damage to the environment, aware of the preservation of the sea.

In this way, the definition of the Blue Memory target would be as follows:

Individuals living in Catalonia, the Community of Valencia, Murcia and the Balearic Islands with a high level of connection to the Mediterranean Sea who want to commemorate the death of a family member or loved one by getting rid of the ashes in it without causing damage to the environment.

Within this target there are several subtypes of consumers who could contract the services of Memoria Azul: relatives, relatives through the will of the deceased, city councils and military for commemorative events, etc...

6.1.3 Demand Forecast

The data provided for the demand forecasting takes 2020 as a reference point. In this way, the first conclusions are collected from 2020 backwards and the prediction is made from 2021 to 2027, taking 2023 as the year of commencement of operations. .

To estimate the demand, we start from the demand of the funeral market, and it is segmented until reaching the Blue Memory target. In the Appendix there is an outline of the process to follow.

As mentioned above, the year 2020-2021 is considered an anomaly, so some of its data may not be considered for certain calculations.

The average number of deaths in previous years is 416,513. According to the Panasef report (Panasef, 2021), the level of deaths will grow in a longer term than that of interest to Memoria Azul, around 0.8%. In this way, the mortality rate in the next few years would be:

2021	2022	2023	2024	2025	2026	2027
416,513	419,845	423,204	426,589	430,002	433,442	436,909

Table 6.2 . Death rate forecas in Spain*Source: Own elavoration*

Our target represents individuals from the four “Comunidades autónomas” named above, so the proportion of deaths would change. With a combined average of 416,513 deaths in these communities, it would represent 31.8% of Spanish deaths (Panasef, 2021). the forecast would be updated to:

2021	2022	2023	2024	2025	2026	2027
132,493	133,553	134,621	135,698	136,784	137,878	138,981

Table 6.3 . Death rate forecast in Catalonia, the Balearic Islands, the Valencian**Community and Murcia***Source: Own elaboration*

Starting again from the data offered by the Panasef association, the trend of this division is the gradual rise in cremations compared to burials. Since 2018, more than 40% of the deceased opt for cremation. Although a rise of these up to 60% is speculated for 2025, the percentage rise offered by the data does not determine such a high increase for that date. Since 2015, the proportion of cremations has experienced an average increase of 1,786 (Table 1.2) percentage points, which leads to defining a proportion of 54.11% of cremations for 2025 and not 60%. Taking a more risk-averse position, it is more feasible to opt for this prediction, and in this way the number of cremations in 5 years would increase as follows

Year	2015	2016	2017	2018	2019	2020
% incinerations relative to burials	36.25	36.94	38.43	41.22	44.54	45.18
Increase %per year	2015- 2016	2016- 2017	2017- 2018	2018- 2019	2019- 20120	Average increase
	0.69	1.49	2.79	3.32	0.64	1.786

Table 6.4. Average computation of cremations from 2015-2020*Source: Own elaboration*

Year	2021	2022	2023	2024	2025	2026	2027
------	------	------	------	------	------	------	------

% incinerations relative to burials	46.97%	48.75%	50.54%	52.32%	54.11%	55.90%	57.68%
% cremations in the 4 “Comunidades”	62232	65107	68037	70,997	74,014	77,074	801,64

Table 6.5. death rate of only cremations in Catalonia, the Balearic Islands, the Valencian Community and Murcia

Source: Own elaboration

Once again, a next division arises. Whether the deceased or their relatives, they can decide to put the ashes in a niche or decide to do something else with them. This is where the various ash treatment product offerings come from and where Memoria Azul takes part. Of the cremations that take place in Spain, 35% of them end up in cemeteries and the rest is unknown (Zuil, 2016). Finally, the approximate number of consumers who would be willing to consider the option of contracting the services of Memoria Azul would be:

2021	2022	2023	2024	2025	2026	2027
40,451	42,319	44,224	46,148	48,109	500,98	52,107

Table 6.6. death rate of in Catalonia, the Balearic Islands, the Valencian Community and Murcia from ashes than don not end up in a cementery

Source: Own elavoration

Finally, the different competing solutions mark a market share where Memoria Azul would have 6% -market share in Appendix-, since it is a new introduction to the market where voluntary recreation or other sustainable solutions continue to prevail. Thus, the final demand would be:

2021	2022	2023	2024	2025	2026	2027
2,427	2,539	2,653	2,769	2,887	3,006	3,126

Table 6.7. Final annual demand

Source: Own elavoration

Additionally, deaths rates follow a trend during months (Panasef, 2021). It is assumed it will follow the same trend for our segment. However, the start of operations

of Memoria Azul would not mark such a high demand at the beginning, so under a realistic scenario, sales would increase until they balance with what was predicted.

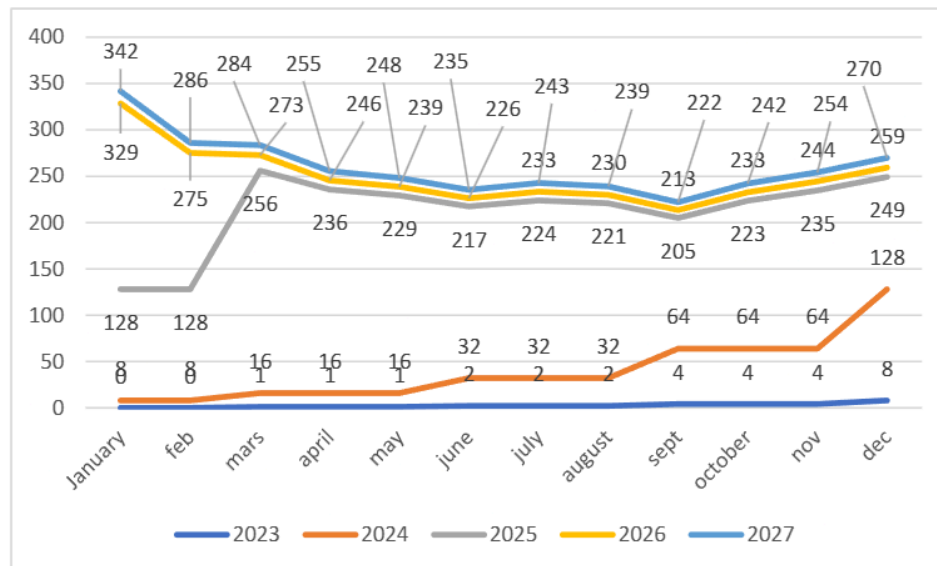


Table 6.8. Monthly demand.

Source: Own elaboration

6.2 Strategic Marketing

6.2.1 Product

As discussed in previous sections, Blue Memory does not sell a good, but a service that is accompanied by a good. The service that is sold is a commemorative and farewell act for the deceased by scattering their ashes into nature in a sustainable way through the use of artificial reefs.

Blue Memory meets the needs of all those families who want to commemorate the death of a deceased -and want to take part in it- and want to spread the ashes in an important or natural enclave without having natural impacts or against the law. What characterizes this service and what differentiates it from most of its competitors is the means used to carry out this scattering of ashes, which is through an artificial reef that not only enhances marine biodiversity but also Its design also slows down the strong waves of storms, preventing it from causing serious damage to the beaches.

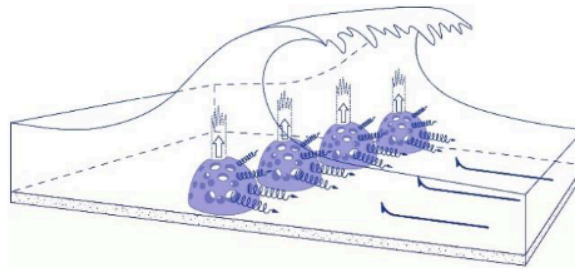


Figure 6.1. Reef Ball technology

Source: Reef Ball Foundation



Figure 6.2. Revista Landuum

Source: Reef Ball Foundation

Three different sizes will be offered depending on the number of ashes you want to use. The largest, Goliath Reef, for two or more urns. Then the Ultra Reef, for one person (and a pet if desired). And finally, the Pallet size, for pets or mere commemorative events without the need for ashes.



Figure 6.3. Reef Ball Offer

Source: Eternal Reefs

Actually, only 1% of the entire reef is ashes, so a single size could be used, but just like in a cemetery, the more people you bury together, the bigger the space has to be; the same goes for the perception of reefs. Customers will find the Goliath Reef option convenient to house more than one urn.

6.2.2 Price

The differentiation and added value that the Blue Memory service brings with it positions the company with high costs compared to the market, due to the high costs involved in performing this service. The strategy is to be able to afford to go up but without reaching the ranks of the competitors who deal in jewels.

As previously mentioned, there are several sizes to follow the consumer's perception, therefore the costs will change depending on the size and to that extent the prices will be adjusted. These prices consist of around double the unit value of each reef.

Goliath	Ultra	Pallet
1,000	660	244

Table 6.9. Price list

Source: Own elaboration

6.2.3 Place

As it is characterized as a service, it is normal for its distribution to be direct with the client. As mentioned in the operations section, the reefs are stored or manufactured a few days before use and what is going to be used in the next service is chosen. These are transported by truck to the dock where they will be transferred to a boat that will be taken to the five geographical points already mentioned: Jave, Marenyet Beach, Pantacona Beach, Palma and Tossa del Mar.

These points are strategic. They occupy the northern area of the Mediterranean Sea in Spain because it is the area where Memoria Azul is going to start carrying out its activity.

These points in particular are places where the last storms have caused several damages, so they are key points for the reefs to perform one of their functions. In addition, these areas are spread over several autonomous communities so that someone from Barcelona, for example, who feels connected to the Mediterranean Sea but in their area, does not have to travel a long distance.

6.2.4 Promotion

The first thing is to have a site where users who have heard/seen something related to Memoria Azul can find out about the services offered together with the mission and vision of the company. For this reason, it is mandatory to develop a web page where all available information will be made available, from prices, advice, contact, reef deposit points, etc. It will be done through the Wordpress platform.

In addition, there will be a physical establishment in the city of Valencia to access not only the online promotion, but physical as well. Inside it you will be able to observe the different reef sizes and also access a museum room where the mission, objective and values of the company are explained through videos.

For a competitive promotion strategy, it is necessary to find out in which moments, the client is more receptive to remember and consider this idea, that is, to find The moments of Truth. The first stage of consideration occurs throughout the life of a person in which the media would be the most appropriate practice to reach users who at least know what Blue Memory is and what services it offers. Later, when the person reaches an age range in which he seriously thinks about what he should do when the time comes. According to the characteristic factor in the sector is to contract a death insurance. Although insurance companies do not cover those activities with ashes beyond the cemetery, they are aware of the other various forms and function as a point of view for Memoria Azul, so letting them know is a key factor. Insurers require many quality standards so that they can offer our services at the moment, therefore, no monetary investment will be made at the beginning, but only to make themselves known and so that clients can introduce Memoria Azul in their range of possibilities.

In case of not having contracted death insurance, it is at the moment of death, normally in the hospital, where the funeral companies are located to receive the families. This is the third important moment where they will consider what to do, therefore the presence

in hospitals through brochures is a good practice, in addition to establishing relationships with funeral companies so that they can promote our activity.

In case of not having thought of anything once the urn with the ashes has been received, the presence in the media will be used again to be seen.

Decisions about funeral procedures are mostly preconceived and such spontaneous decisions are not made, so the sooner it enters the minds of users, the more chances of success there will be.

In summary, the promotional work will consist of:

- A Web page
- A museum store.
- Media promotion (online advertising, interviews, etc.)
- Agreements with funeral companies
- Presence of brochures in hospitals and cable points
- Make yourself known to insurers.

7. Human Resources

The set of operations that Memoria Azul must carry out entails hiring a staff of workers according to each one of them. In this way, the following positions to be covered can be observed

7.1 Job positions

- o **Chief Executive Officer (CEO):** the person who founded the company, in charge of its expansion, assuming all the risks that this entails. He will direct the rest of the staff and in the first periods he will also assume several of the company's tasks, both the position of CFO (Chief Financial Officer) to guarantee the financial health of the company, as well as that of chief of operations, commercial work (which defined in the following post) and sales service.

- o **Salesperson:** apart from being carried out by the CEO, there will also be a person dedicated especially to these tasks that focus on establishing relationships with insurers and funeral homes so that they can offer more visibility with the aim of creating alliances and our service can be considered much earlier by the consumer; in addition to carrying out communication campaigns to achieve greater visibility.

- o **Shop assistant:** located in the flash-shop, its job is to sell and inform people who pass through the area about the Memoria Azul brand, its values and objectives. He will keep the rooms clean and tidy, counting on the knowledge of the company to be able to answer any questions to anyone interested. He will also be in charge of answering incoming calls and online purchase processes.

- o **Reef producers and Boat Skippers:** there will be two people who will carry out two activities. On the one hand, during the week they will be in charge of producing the reefs, which they will store; and on weekends, he will alternately join the CEO to offer the service to families through the crew of the boat and the deposit of the reefs on the seabed.

The requirements for these job positions are the followings:

- Salesperson: a profile with a university education in the field of marketing and communication is required with a background of at least 5 years of experience as a salesperson or in the marketing sector, all in the funeral industry.

She must have good communication skills and the fact that she has a network in the sector will be valuable.

- Shop assistant: looking for a person who has a good image for the public. That invites people to approach and talk, but at the same time is competent and reflects the professionalism and seriousness of the work and the subject matter in the industry. She must have several years of customer service or customer service. Industry experience highly valued.

- Reef producers and boat skippers: the basic requirement to perform this position is the obligation to be in possession of a title to crew boats and a diving title. The reef production process will receive further learning. Therefore, it is a profile with maritime experience, with a lot of flexibility of schedules and willing to move in different jobs.

7.2 Wages

The positions to be required have several qualified people, with different schedules and diverse working conditions that are out of the ordinary, for which a considerable salary is necessary. The main idea is to offer salaries above the average of the Valencia Community, that is, no less than 1,800 EUR (Expansión, 2022). To do this, it is ready to add the personnel expenses that will determine what budget should be used to reach said salary level.

On the one hand, social security expenses must be faced: Common contingency (23.60%), unemployment (5.50%), FOGASA (0.2%), professional training (0.6%), and work accident and professional illness (3.30 % – referring to funeral services and related activities Premium rate RDley 28_2018 (cuestioneslaborales.es)) In this way, 33.2% is deducted from the gross salary.

In addition, the company will assume some costs that allow carrying out the activities, such as travel expenses by the commercial and expenses in the days of navigation and stay. In this way, personnel expenses are reflected in this way.

Job position	Annual Net salary	Annual Gross salary	labor expenses (trips, stays...)	Total firm expense
CEO	24000	31968	10,000	41,968
Commercial	22,800	30,369.6	10,000	40,369.6
Shop assistant	21,600	25,574.7	0	25,574.7

Reef builder 1	21,600	25,574.7	2,000	27,574.7
Reef builder 2	21,600	25,574.7	2,000	27,574.7
TOTAL				163,061.7

Table 7.1. Wges

Source: Own elavoration

7.3 Laboral conditions

The funeral industry is a highly sacrificed sector because death never gives notice and at any time of the year, insurers and funeral homes must be ready to meet the needs of customers. However, the services of Memoria Azul, like those of the competition, are contracted later as it is not an immediate need. That is why being governed by schedules where you have to be physically present all the time is not necessary. This way you can divide the time more efficiently.

The Reef Builder/boat skippers will have a variable working day depending on the workload. They will always start at 8:30 from Monday to Friday to produce the reefs until 4:30 p.m. But due to issues of number of moulds and space for drying them, when the quota of one of these is covered, and it is not possible to help in other work that is required, the working day would end. Together with this work, on weekends they would carry out the work, together with the CEO, of loading the requested moulds on the truck, and from there to the ship, and accompanying the CEO to the different service points, helping him with the families and depositing the reefs. . For greater flexibility, this last task that is carried out on weekends will be rotated between the two workers between the four weekends that the month counts, distributed among themselves previously for the greater convenience of each one. The costs of weekend work such as food and others will be covered by the company. Both will have 22 days of vacation that they will have to alternate so as not to leave the position empty.

The shop assistant will open the flash-shop at 10:00 a.m. – 2:00 p.m. and 4:00 p.m. – 8:00 p.m. on weekends and 10:00 a.m. – 2:00 p.m. and 5:00 p.m. during the week. 00 - 20:00, except Monday and Tuesday when it will only open from 17:00 - 20:00. The intention is to be open during the days of greatest influx of people, so you will have 20 days of vacation that you will not be able to on key dates such as Easter, Las Fallas,

Christmas, weekends. Of these 20, only one week of consecutive days can be taken. During that absence the CEO will take his place.

On the other hand, the commercial, who will have the same number of vacations, will have to get along with the shop assistant so that this week of consecutive days is not the same so that the CEO can easily replace both during his absence. In addition, the commercial will have to travel so the costs of transfers and meals and everything that this entails will be borne by the company. Your schedule will be from 08:30 to 16:30 with a break for lunch, not counting the additional hours of travel

In this way, the hours that they would perform throughout an exercise would be:

Job position	Hours per week	Hours per year
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Commercial	40 hours	
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Shop assistant	45 hours	
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Reef builder 1:	40 – 88 hours	
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Reef builder 2:	40 – 88 hours	
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8. Economic Financial Plan

In order to check there is profitability in this market, a financial plan must be carried out to get some insight about the probability of success or not. The initial investment is stated and after that, the rest of operations are computed.

8.1 Initial investment

In order for Memoria Azul to start its activity, it is necessary to have the establishments, materials, personnel and tools necessary to carry it out, as well as to pass the legal procedures. More specifically, it would require:

Legal requirements	
Negative certification of company name	25.45
Open bank account	3,000
Deed in notary and Mercantile Registry	150
Equipment	
Boat	21,000
Truck	5,000
Tools & Equipment for Reef Ball production	40,490
Flash-shop	
Renovation	24,834
Opening license	400
Factory	
Production of first reef balls (10 Goliat, 10 Pallet, 15 Ultra)	10,906.18
1 st two months*	
2 first month rent (flash-shop)	6,266
2 first month rent (factory)	1,060
2 first month staff expenses	27,176.95
Light and water for 2 months	1,250
Web page 2 month payment	30
Marketing	433
Other (maintenance, reserves)	117
TOTAL	142,168.6

Table 8.1. Initial investment.

Source: Own elaboration

* The first two months are not expected to get clients, so the fixed expenses of those two periods must be considered

8.2 Financial plan

The financing of Blue Memory will be carried out through three elements:

1. A subsidy program from the Valencia City Council for economic activities in ground floor premises of up to 20,000 EUR, which will be used in the Flash-shop since it is the one located in the city of Valencia, receiving 14.07% of the investment initial (Ayuntamiento de Valencia, 2022).

2. On the other hand, 25,000 EUR will be contributed through personal and family channels, representing 17.58% of the initial investment.

3. Finally, 68.35% of the remaining investment (97168.6 EUR) will be made through a loan from the Investment fund MyTripleA at 5.50% interest for 5 years. The amortization table would have this form:

Year	Quota	Amortized capital	Interests	Pending capital
				97,168.6
2023	18,56.03	17,361.44	4,910.97	79,807.16
2024	18,56.03	18,340.77	3,931.63	61,466.39
2025	18,56.03	19,375.32	2,897.08	42,091.07
2026	18,56.03	20,468.25	1,804.14	21,622.82
2027	18,56.03	21,622.82	649.58	-

Table 8.2. Amortization quota of Loan.

Source: MyTripleA

In this way, 68.35% of the investment will be financed with Debt and 31.65% will be financed with Equity, and the initial Balance Sheet would be reflected as follows:

ASSETS	LIABILITIES
Cash..... 3175.45	
Equipment 66,490	Debt..... 97,168.6

Faslh-shop..... 31,500	EQUITY
Factory..... 1,060	Share Capital..... 45,000
10 reef balls..... 10,906.18	
Staff..... 27,176.95	
Maintenance 1,860.02	
TOTAL ASSETS: 142,168.6	TOTAL LIABILITIES: 142,168.6

Table 8.3. Initial Balance Sheet.

Source: Own elaboration

8.3 Income and Expenses

Income is determined by the demand predicted in chapter 5. There are three different prices depending on the size of the reef but the distribution of income is determined by 80% for Ultra reefs, and 10% for Goliath and Pallet (the large and small sizes) assuming that the service is more likely to be done by one person than by more than one or without ashes. This way, the expected income would be:

	2023	2024	2025	2026	2027
Income	18,919.6	313,152	1,664,490	1,957,111	2,035,586

Table 8.4. Income forecast.

Source: Own elaboration

On the other hand, the expenses that will occur in these periods have been previously defined throughout the document. These are grouped into fixed and variable costs. The fixed costs are the following:

	2023	2024	2025	2026	2027
Rent flash-shop	31,334	37,600	37,600	37,600	37,600
Rent factory	5300	6360	6360	6360	6,360
Gastos de personal	135,884.8	163061.7	163061.7	163061.7	16,3061.7
Web page domain	150	180	180	180	180
Marketing (Brochures, webpage, SEO)	2,600	3,600	4,600	5,600	6,600
Other: - Maintainance (fishes, tank...)	700	100	700	100	700
Water and light	7,500	7,626	7,755	7,880	8,010
Truck and Ship insurances	250	250	250	250	250

Debt	21,897.48	21,897.48	21,897.48	21,897.48	21,897.48
TOTAL	205,616.28	240,675.2	242,404.2	242,929.2	244,659.2

Table 8.5. Fixed costs.

Source: Own elaboration

The most notable costs are personnel expenses followed by inventory and rent. The rental of the flash-shop is high due to its strategic location, and the inventory costs are high due to the cost of the moulds.

On the other hand, the variable costs include the materials to form the reef, and the transport costs that would correspond to the following annual costs.

	2023	2024	2025	2026	2027
Variable costs	9,704.662	153,444.3	815,599.3	958,983.4	997,436

Table 8.6. Variable costs.

Source: Own elaboration

With this information the Break-even point can be computed:

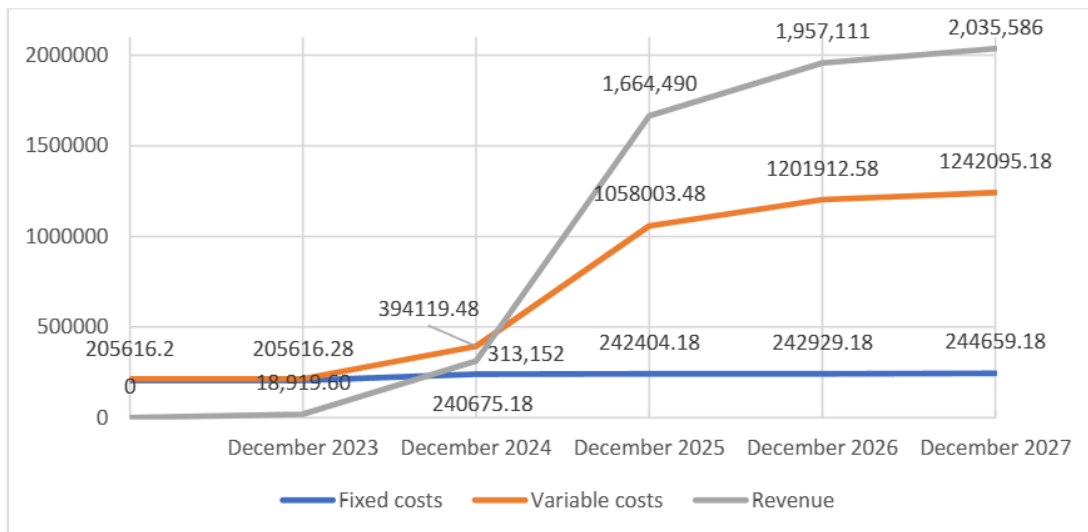


Table 8.7. Break-even point.

Source: Own elaboration

It can be observed that a trifle later of December 2014 -beginning of 2025- the income would be start being greater than the expenses.

8.4 Financial statements

Mention that for the financial statements we are going to assume taxes of 25 percent and that VAT is not taken into consideration since it is an indirect tax that falls on consumption. In addition, amortization must be taken into account.

	Usefull life	Amort. Coefficient	Annual Amortization
Laptops (x3)	5	25%	243.75
Furnitures	2	10%	299.9
Truck & Boat	14	16%	4,160
Total anual amortization			4,703.65

Table 8.8. Amortizations.

Source: Own elaboration

The income statement shows us how we begin to have positive net results in the third year.

	2023	2024	2025	2026	2027
Income	18,919.6	313,152	1,664,490	1,957,111	2,035,586
CoGS	(9,704.662)	(153,444.3)	(815,599.3)	(958,983.4)	(997,436)
Gross Profit	9,214.94	159,707.7	848,890.7	998,127.6	1,038,150
Rent flash-shop	31,334	37,600	37,600	37,600	37,600
Rent factory	5,300	6,360	6,360	6,360	6,360
Personal expenses	135,884.8	163,061.7	163,061.7	163,061.7	163,061.7
Web page domain	150	180	180	180	180
Marketing	2,600	3,600	4,600	5,600	6,600
Other	700	100	700	100	700
Water and light	7,500	7,626	7,755	7,880	8,010
Vehicles insurance	250	250	250	250	250
EBITDA	-174,503.9	-59,070	628,384	777,095.9	815,388.3
Amortization	4,703.65	4,703.65	4,703.65	4,703.65	4,703.65

Opr. Profit: EBIT	-179,208	-10,610.7	623,680.4	772,392.3	810,684.7
Debt Interest	4,910.97	3,931.63	2,897.08	1,804.14	649.58
EBT	-184,119	-14,542.3	620,783.3	770,588.1	810,035.1
Income tax	0	0	155,195.8	192,647	202,508.8
Net Income	-184,119	-14,542.3	465,587.5	577,941.1	607,526.3

Table 8.9. Income statement.

Source: Own elaboration

	2023	2024	2025	2026	2027
Initial Cash-Flow	142,168.6	-63,107.2	-129,014	261,902.3	764,078.75
Inflows					
Net Income	-184,119	-14,542.3	465,587.5	577,941.1	607,526.3
Amortization	4,703.65	4,703.65	4,703.65	4,703.65	4,703.65
Outflows					
Loan amortization	(17,361.4)	(18,340.8)	(19,375.3)	(20,468.25)	(21,622.82)
Investmentes	(8,499)	(37,727)	(60,000)	(60,000)	(60,000)
Ending Cash	-63,107.2	-129,014	261,902.3	764,078.75	1,294,685.9

Table 8.11. Cash Flow.

Source: Own elaboration

In the end, as the final revenue the company gets, a negative cash flow during the first two periods are experienced but in the third period the firm starts getting positives cash flows. However, if we use the Payback method to calculate the time period it takes to recover the invested capital, we get that the investment is recovered in 3 years and 1 month:

$$(72,387.5 \times 12) / 764,078.75 = 1'14 \text{ months}$$

t0	t1	t2	t3	t4	t5
-142,168.6	-63,107.2	-129,014	261,902.3	764,078.75	1,294,685.9
-142,168.6	-205,275.8	-334,289.8	-72,387.5	691,691.25	1,986,377.15

Table 8,12. Payback schedule.

Source: Own elaboration

9. LEGAL

The ashes at the end are the charred remains of a human, therefore they cannot be spread over nature in any way because their impact is negative. The cases of scattering of ashes over the sea, on the coast, close to other people and placing them in urns that are not biodegradable, has led to the creation of a regulatory framework so that these things do not happen. In the end, this regulation entails asking for a permit that has to be granted and therefore only companies that meet rigorous requirements will be able to apply for it.

9.1 Legal terms

As it is an activity that is carried out in the marine field, the requirements are based on respecting the marine environment and meeting certain environmental objectives of the country's marine strategies, signing a responsible declaration where the neutral or positive impact of the activities is declared. such as a point that declares that biodegradable urns will be used (RD 218/2022, de 29 de marzo, por el que se modifica el RD 79/2019, de 22 de febrero, por el que se regula el informe de compatibilidad y se establecen los criterios de compatibilidad con las estrategias marinas.)

However, Blue Memory is not going to scatter ashes or deposit them on the seabed with a biodegradable urn. In reality, the activity that is carried out is to deposit artificial reefs on the seabed. In the end the ashes represent 1% of the reef material. For this reason, for legal purposes, Memoria Azul should not be governed by those that affect ashes, but rather those that refer to artificial reefs that actually exist. As with ashes, it is a marine activity, so they are regulated by the same decree that requires a report on compatibility with marine strategies (RD 79/2019, de 22 de febrero).

But depending on the activity, some must comply with one or the other. In addition, the competent administration must approve the report to ensure that the materials are not harmful, in addition to the fact that a regular evaluation of the seabed where the placement or deposit is to be carried out must be carried out. (Ley 41/2010, de 29 de diciembre, de protección del medio marino.)

In conclusion, Memoria Azul can carry out its services as long as the competent administrations accept the proposal and the compatibility reports with the marine strategies. In this way, the positive impact can be raised to the municipalities so that they can accept the option of depositing them not near the coast, but not too far away so that the reefs perform that function of stopping the strong waves during storms.

10. CONCLUSION

It can be seen how the funeral market is changing. There is an increasing variety of services due to a tendency to commemorate loved ones a few days after death, as people want to take more part in it. That is why many companies emerge that offer this type of service such as scattering the ashes in the sea, planting a tree, even turning them into jewellery, tattoos and portraits.

Although there are several companies, it is a geographically fragmented market, so few cover a lot of space and there is a high concentration. Therefore, Memoria Azul have to offer an added value that makes it better or different. In this way, there is a market opportunity since there are hardly any companies that are specifically dedicated to scattering the ashes into the sea, and compared to the existing ones, Memoria Azul offers the added value of the advantages of the reefs that promote marine biodiversity. and they protect the beaches from strong waves on stormy days.

The reefs will be manufactured in advance and a set weekend stays with the clients who have contracted the service and the last upper part of the reef will be manufactured where they can mix with the ashes of their loved one. The next day they will be able to say goodbye while the reef is deposited on the seabed.

To carry out this task, it will be necessary to promote yourself through funeral homes and insurance companies, since they are the most important agents that intervene in the funeral decisions of the clients and the points where the consideration of other practices can be changed.

The demand will focus on points in four autonomous communities in the northern Mediterranean, since the main target of Memoria Azul are people who feel a connection with the sea, especially with the Mediterranean Sea.

Carrying out this activity requires a significant investment that will be financed through personal means, grants and a loan. The company will begin to generate profits from the second year but the initial investment would be recovered in three years and one month.

In general, the conditions are favorable to be able to carry out this business idea that will not only offer a safer and more legal way to spread the ashes in the sea, but will also help the environment, more than the competition.

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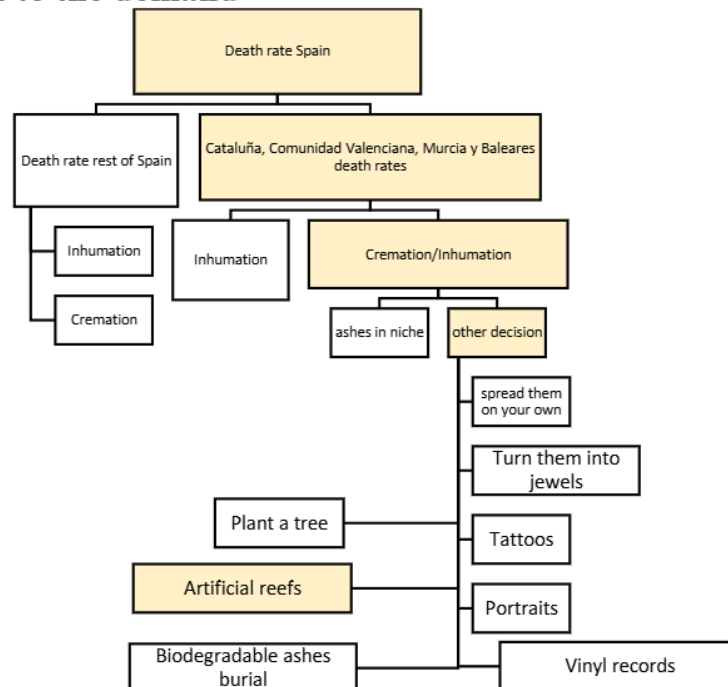
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12.APPENDIX

Canvas

Key Partners  - Insurances - Funeral firms	Key Activities  - reef ball making - boat ceremony - deposit reefs on the seabed	Value Propositions  - Sustainable - Legal - Economic - Promotes marine life	Customer Relationships  - Personal service	Customer Segments  - People with conection to the sea - People with conection to the mediterranean sea - Environmentally committed people
Key Resources  - Reef ball moulds - Transportaton equipment - Capacity		Channels  - Memoria Azul Webiste - Insurances - Funeral firms		
Cost Structure  - Fixed costs (Equipment, moulds, rent) - Variable costs (Ship fuel, materials, inventory)			Revenue Streams  - One services, three different prices depending on the type of ball reef size wanted	

Flow chart to get to the demand



Tools necessary to carry out the activities

Circular saw	Newspaper (to plug a leaking mold)
Power drill with 5/8 inch bit	Extra Polyform Screw Caps (to replace lost or damaged ones)
1 1/4" inch flat wood blade bit (for countersinking) x5	Abrasion resistant lifting straps (available from Reef Innovations) [Optional but helpful when lifting equipment is used or for larger operations where normal straps would wear out from the tough Reef Ball concrete] You will need 2 straps for floating deployments if your equipment (such as a crane) is doing to place the Reef Balls directly into the water
Screwdriver (power recommended)	Knife
Philips oval head deck screws (1 3/4)	BCD inflator tip
3/4" Plywood x5	Extra rope
Spray paint (3 colors)	Extra buoys (grandes) x5
1/4" bit (to mark mold fitted to base)	Buoys (medianas) x10
Plumbers Straps (to secure pins to base-optional)	Tether balls x10
Small box of drywall screws (to secure plumbers strap to base)	Flathead screwdriver
1/4" Drill bit (for attachment adapter assembly)	"Wanger" (see image below available in Google Sketch-up as a free model) or "Pelican" Release hook
Phillips screwdriver	Lifting sling & chain
Thick Rubber or Nitril Gloves (for concrete)	Leather gloves x5
Work gloves x5	Needle value (to inflate tether balls)
Rubber mallet(s)	1 1/4" Paddle bit (to redrill tether ball holes)
Plastic wedge (to break out finished modules if left in the mold too long)-optional	1" Drill bit to redrill hold down bar holes
Sugar & fine mist sprayer (Garden sprayer or air powered paint sprayer is the fastest)	3/4" drill bit to redrill side flange holes
Flathead screwdriver (battery power driven, especially if you have Pallet, Reef, Ultra or Super molds due to the larger number of polyform side bladders that have air added or removed by a screw cap)	1 can WD-40 to lubricate metal parts and keep them from rusting
Submersible Thermometer (if using concrete waste)	Razor knife (to open boxes, etc.)
Air compressor or scuba tank with adapter to allow for controlled filling of air bladders.	Hacksaw blade...to fine cut fiberglass when reshaping
adapter to the scuba tank	Magnum 44 perm marker, to mark holes for re-drilling
Trowel to direct the concrete into the mold	Roll of Hi-Vis string (to set up tethered bleed pins, also useful for deployment layouts)
Hammer (Good quality hammers make things much faster, steel shaft is best)	Fiberglass resin & activator (for mold repair work)
Vacuum pump (A shopvac or "stinger" fitted with air line hosing with the intake blocked works well).	Glass roving or cloth (for mold repair work)
Extra Adva Flow (in cast the concrete in the truck is too thick)	Mold big
5 gallon buckets (for moving concrete around)	mold medium
Wheel Barrel (for moving larger amounts of concrete around)	mold small
Duct Tape (to temporarily patch unused holes)	Concrete mixer
	Extra 1000 lb pillow lift bags (Subslave is a good brand) (optional for smaller units, required for breakwater or very heavy Reef Balls, Ultra Balls or Super Balls)
	Power washer (or car wash) (or sand blasting equipment) (to periodically clean mold shells)

Market share

Spread them on your own	Turn them into jewels	Tattoos	Portraits	Vinyl records	Biodegradable burial of ashes	Plant a tree	Artificial reefs
20.00%	10.00%	10.00%	10.00%	10.00%	15.00%	15.00%	6.00%

Competitors

	Firm
 POR SIEMPRE	Por siempre https://www.porsiempre.es/
 RECORDARIUM EL BOSQUE DEL RECUERDO	Recordarium https://www.recordarium.com/?gclid=CjwKCAjwur-SBhB6EiwA5sKtjo5aBgSC0Ym_1sGPOMFo5VIU3HNnd-YL1y-sQH5xkeJzAa3Ds02hAxoChDMQAvD_BwE
	Lonité https://www.lonite.es/es/diamantes-con-cenizas-humanas.html
 LGORDANZA™ SWISS MADE	Algordanza https://www.algordanza.es/como-contratar
ETERNIMA	Eternima https://eternima.com/contacto/
	Gala Azul https://twitter.com/galaazul
	Cenizas al mar https://www.cenizasenelmar.es/
	Hacia el mar https://haciaelmar.com/
	La Paz Park Valencia https://parquedelapaz.es/columbarios/?gclid=CjwKCAjwnZaVBhA6EiwAVVyv9JRk59jA-8FrECFK-fc3NXtNwdBamlo3xgKcFOW0YvpsufnVipMyRhoCpdQQAvD_BwE
	Barcelona cementery https://www.cbsa.cat/es/

Final annex

ORIGINALITY DECLARATION

Hereby I, JOSE IGNACIO GUZMÁN SERRANO, certify that the bachelor thesis titled " Implementing a new funeral business idea in Spain: Memoria Azul (Blue Memory) " is totally original mine, that has not been presented in any other university as a bachelor thesis and that all sources that have been used have been properly cited and appear in the references.

Getafe/Colmenarejo, 12/06/2022

Signature:

